Virginia Historic Rehabilitation Tax Credit Purchase Agreement - Revised Draft

Draft dated February 18, 2025 - not for execution

Preamble

This Agreement is made between Ashby Mill Owner, L.L.C., a Virginia limited liability company (Seller), and Commonwealth Credit Holdings LLC (Buyer).

Seller expects to receive Virginia historic rehabilitation tax credits for the rehabilitation of the Ashby Mill, 410 Bridge Street, Danville, Virginia (the Credits).

Buyer wishes to purchase the Credits on the terms of this Agreement.

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Article 1 - Definitions

Section 1.1 Credits means the Virginia historic rehabilitation tax credits allocated to Seller for the Project, expected to total $6,150,000.

Section 1.2 DHR Certification means the final certification of the Credits issued by the Virginia Department of Historic Resources.

Section 1.3 Closing means the transfer of the Credits to Buyer against payment of the Purchase Price.

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Article 2 - Purchase price

Section 2.1 Price. Buyer shall pay $0.85 per $1.00 of credit for all Credits transferred at Closing.

Section 2.2 The Purchase Price shall be adjusted if the Credits finally certified differ from the expected amount.

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Article 2 - Payment

Section 2.3 The balance of the Purchase Price shall be paid at Closing by wire transfer.

Section 2.4 Deposit. A 10% deposit due within 10 business days of signing, to be held in escrow and credited against the Purchase Price.

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Article 5 - Closing

Section 5.1 Closing shall take place within thirty days after Seller delivers the DHR Certification to Buyer.

Section 5.2 At Closing, Seller shall deliver the transfer forms required by the Virginia Department of Taxation.

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Article 5 - Outside date

Section 5.3 If the DHR certification is not delivered by April 30, 2026, Buyer may terminate this Agreement and receive a refund of the deposit.

Section 5.4 Seller shall keep Buyer informed of the status of the Part 3 application and the DHR Certification.

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Article 3 - Representations of Seller

Section 6.1 Seller is duly organized and in good standing and has full power to enter into and perform this Agreement.

Section 6.2 The Credits have not been sold, assigned or pledged to any other person.

Article 4 - Representations of Buyer

Section 6.3 Buyer is purchasing the Credits for its own account and has the capacity to use them against its Virginia tax liability.

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Article 6 - Indemnity

Section 6.4 Seller shall indemnify Buyer for any loss of Credits caused by a breach of Seller's representations.

Section 6.5 This Agreement shall be governed by the laws of the Commonwealth of Virginia.

Article 7 - Notices

Section 6.6 All notices shall be in writing and delivered to the addresses set out on the signature page.

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Article 3 - Representations of Seller

Section 6.7 Seller is duly organized and in good standing and has full power to enter into and perform this Agreement.

Section 6.8 The Credits have not been sold, assigned or pledged to any other person.

Article 4 - Representations of Buyer

Section 6.9 Buyer is purchasing the Credits for its own account and has the capacity to use them against its Virginia tax liability.

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